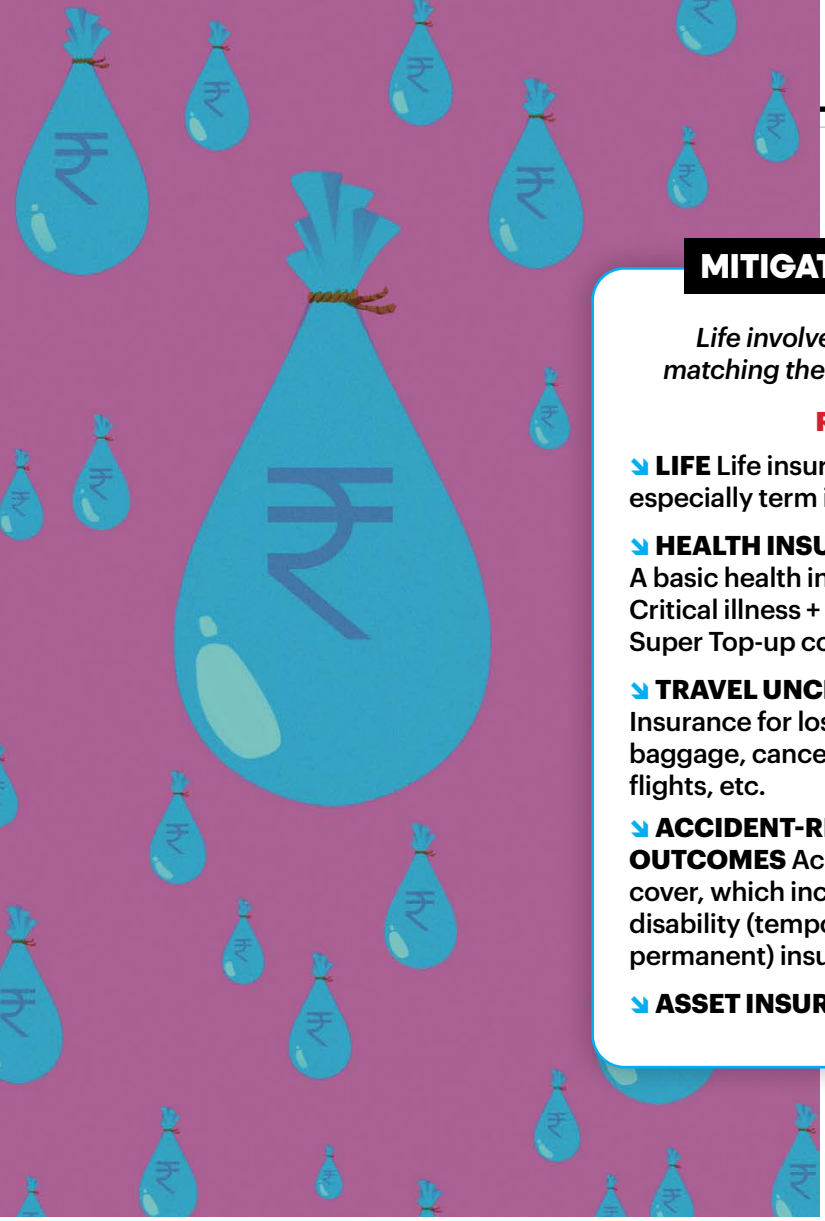


MITIGATING RISK WITH INSURANCE

Life involves risk, and risk management is about matching the right insurance to different types of risk

Risk Cover Insurance Type

- **LIFE** Life insurance, especially term insurance
- **HEALTH INSURANCE** A basic health insurance + Critical illness + Top-up or Super Top-up cover
- **TRAVEL UNCERTAINTY** Insurance for loss of baggage, cancellation of flights, etc.
- **ACCIDENT-RELATED OUTCOMES** Accident cover, which includes disability (temporary and permanent) insurance
- **ASSET INSURANCE (HOUSE, GADGETS, VEHICLE, ETC)** Homeowners insurance covers the structure against fire and other hazards; expensive gadgets (phone, laptop and other equipment) can be insured individually or collectively; motor insurance covers the risk to the vehicle and liability arising from an accident
- **PET INSURANCE** If you have pets, you can insure them and cover liability arising from their ownership

some loan or another. The number of iPhones sold in the days after launch is one example. Borrowing per se isn't problematic, as long as borrowers can repay the loan without defaults or delays. However, debt spiralling is a reality, especially with the proliferation of payday loan services. The challenge is to limit borrowing to under 30 per cent of the household income, and to borrow only for essentials.

To improve debt management, start by listing your existing loans and recording the applicable interest rate and tenure for each. Check your existing credit score and prioritise reducing high-interest loans first, consolidating loans wherever possible. This will help you improve your credit score, benefiting future borrowing. Make efforts to reduce reliance on borrowing and, where possible, defer purchases rather than opt for a loan simply because it is available.

INVESTING IN A COMPLEX WORLD

We are living in interesting times, marked by longevity and technological breakthroughs. Investors are perennial optimists, yet market sentiment appears somewhat conflicted, with stock market returns less encouraging than those observed in recent periods. Market sentiment in 2025 largely reflected the direction set by the Trump tariffs and the resulting trade disruptions. There was more noise due to advances in AI-driven technologies, which are expected to cause further disruption.

Against the backdrop of a soaring cost of living, widening inequality, high government debt levels, sluggish productivity and ongoing geopolitical tensions, stock markets will continue to experience volatility, further exacerbating investor tensions. However, bad headlines don't necessarily lead to poor market performance, because some segments still perform well even when others fall or underperform. This truth is important for investors to consider when positioning their portfolios and investment plans.

Most investor concerns today are not new; similar situations have occurred before. This year will have its share of geopolitical conflicts, economic uncertainties and challenges, but these are already priced into